

e. Donations

Donations and Tax Savings:

Under Section 80G of the Income Tax Act, you can claim a deduction for the contributions you make to certain relief funds and charitable institutions. For the deduction to apply, it should be a digital transaction if the amount goes beyond ₹ 2000.

Now, the eligible donation amount can be either 100% or 50% of the total donation amount, depending on the rules mentioned in Section 80G. There's usually a maximum limit too.

Political Party Donations (Section 80GGC):

If you're someone who likes to support a cause and make donations to political parties or registered electoral trusts, then you can claim deductions on such donations under Section 80GGC. However, please note that the political party you're donating to must be registered under Section 29A of the Representation of the People Act, 1951. Donations made to any unregistered political party won't be eligible for any deduction under this section.

With that said, if you do donate to a registered political party or electoral trust, you can claim a 100% deduction on your donation. However, do keep in mind that the total deduction you can claim can't exceed your total income.



Claim 100% Deduction on your donation